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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 09.08.2018.

PRESENT: 1.Hon'ble member (J) **Shri Rajeswara Rao vittanala,**
2.Hon'ble member (T) D**r. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA) N0.17/BB/2018	For pronouncement of order	Sec 230-232	M/s Fortinet Innovation Centre India Pvt Ltd	SPJ Legal		

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

PETITIONER/s :

RESPONDENT/s :

ORDER

None appeared for Petitioner -

C.P is disposed of vide separate order.

MEMBER (T) **MEMBER (J)**

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IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 17/BB/2018

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on:9.8.2018

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

FORTINET INNOVATION CENTRE INDIA PRIVATE LIMITED

AND

FORTINET TECHNOLOGIES INDIA PRIVATE LIMITED

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Fortinet Innovation Centre India Private Limited
C-1, C-2-201 & C-1, C-2, 301,
2nd & 3rd Floor, Tower-C,
The Millennia, #1 & 2, Murphy Road,
Ulsoor, Bengaluru-560008 - **Petitioner No.1/ Transferor Company**

Fortinet Technologies India Private Limited
#301, Ground Floor, Tower C,
The Millennia, Murphy Road,
Ulsoor, Bengaluru-560008 - **Petitioner No.2/Transferee Company**

Parties Present : 1) Mr. Saji.P.John

Advocate for the Petitioner Company

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on:1.3.2018, 2.3.2018, 17.4.2018, 28.5.2018, 25.6.2018, 12.7.2018

ORDER

The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby Fortinet Innovation Centre India Private Limited (Petitioner No.1/Transferor Company) being merged with Fortinet Technologies India Private Limited (Petitioner No.2/Transferee Company) so as to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner Companies.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of Fortinet Innovation Centre India Private Limited (Petitioner No.1/Transferor Company) with Fortinet Technologies India Private Limited (Petitioner No.2/Transferee Company).The Scheme of Amalgamation is shown as **Annexure -A.**

The Petitioner No.1/Transferor Company was incorporated on 16th October, 2003 under the name and style "Meru Networks India Private Limited". Subsequently on 20th November, 2015 name of the company was changed to 'Fortinet Innovation Centre India Private Limited' having its Registered office at C-1, C-2-201 & C-1, C-2, 301, 2nd & 3rd Floor, Tower-C, The Millennia, #1 & 2, Murphy Road, Ulsoor, Bengaluru-560008 and obtained Certificate of Incorporation vide bearing CIN No. U64202KA2003PTC032742.

The Petitioner No.1/Transferor Company's Objects as set out in its Memorandum of Association is "to undertake the designing and development of telecommunication systems, application software, unified media technology, information technology related products, solution services, support systems either for its own use or for sale, lease or licensing in India or for export, lease, license outside India and to design and develop such systems and application software for or on behalf of manufacturers, owners and users of computer systems and digital/electronic equipment in India or elsewhere in the world."

The Copy of the Memorandum & Articles of Association of the Transferor Company is shown in **Annexure-B.**

Authorized share capital of the Petitioner No.1/Transferor Company as stated in the petition is Rs.50,00,000/- divided in to 5,00,000 equity shares of Rs. 10/- each. The issued

subscribed and paid up share capital of Rs. 4,90,000/- divided in to 49,000 equity shares of Rs.10/- each fully paid up.

The Copy of Audited Financials of the Petitioner No.1/ Transferor company as on 31st March, 2017 and is shown in **Annexure-C.**

The Petitioner No.2/Transferee Company was incorporated on 6th June, 2008 as a Private Limited Company under the name and style as "Fortinet Technologies India Private Limited". The Registered office of the Petitioner No.2/Transferee Company is situated at #301, Ground Floor, Tower-C, The Millennia, Murphy Road, Ulsoor, Bengaluru-560008.

The Transferee Company's Objects as set out in its Memorandum of Association inter alia, as follows:

i. to carry on the business in India and elsewhere of selling, marketing, distributing, planning, improving, supporting, installing, altering or otherwise, repairing of network appliances and software using ASIC innovation and performance acceleration capabilities, detecting and eliminating the most damaging, content-based threats from email and web traffic such as viruses, worms, intrusions, inappropriate web content and more, in real time without degrading network performance.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Transferee Company is shown in **Annexure-D.**

Authorized share capital of the Transferee Company as stated in the petition is Rs. 5,00,000/- divided in to 50,000 equity shares of Rs. 10/- each and issued subscribed and paid up share capital of Rs.5,00,000/- divided in to 50,000 equity shares of Rs.10/- each.

The Copy of Audited Financials of the Transferee company as on 31st March, 2017 and as shown in **Annexure E.**

The Board of Directors of the Petitioner No.1/Transferor Company and Petitioner No.2/Transferee Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 26th September, 2017. The copies of Board Resolutions are shown in **ANNEXURE – F series.**

That the Petitioner No.1/Transferor & Petitioner No.2/Transferee Companies had filed Company Application No.(CAA) 3/BB/2018 before this Tribunal for dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company. This Tribunal vide separate orders dated 15th February, 2018 allowed the Application and dispensed with convening of meeting of Equity Shareholders, secured Creditors & Unsecured Creditors of the Petitioner Companies. The Copy of the Order of this Tribunal in CA(CAA) No.3/BB/2018 is shown as **Annexure- H.**

This Tribunal vide order dated 2nd March, 2018 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies and Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**UdayaVani**' a Kannada daily Newspaper and stating the next date of hearing was on 17th April, 2018.

In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit **dated 3rd April, 2018** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udaya Vani**' a Kannada daily Newspaper.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 10th May, 2018 making some observations:

1. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref:F No 3/Karnataka/ Amal/ 866/ RD/(SER)/2017 dated 9.5.2018 stating therein that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him, and report of ROC, Karnataka vide letter No.ROCB/Legal/C.P.No.CAA/17/BB/2018 dated 13.4.2018 and the Petitioner company's letter dated 11.4.2018 received on 16.4.2018 and it is observed that:

a. In Clause 11.1 of the scheme the petitioner transferee company has sought complete waiver of the fee and stamp duty payable on account of consolidation of the authorized share capital of the transferor and transferee company which is not

acceptable in view of the provisions of Section 232(3)(i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the transferor companies.

b. ROC's observation at para no.30(3) vide letter dated 13.4.2018 that the Transferee company shall comply with the FEMA regulations and guidelines issued by RBI be reported to NCLT.

c. The audited financials of the Transferor Company as at 31.3.2017 has a qualified opinion on Note 29, 30 and 32 by statutory auditors and no explanation/clarification has been given by the directors in the Directors Report. Hence the Petitioner Company shall give an undertaking that they shall get the violations compounded immediately.

d. The appointed date in the scheme is 1.4.2017. As per Sec. 232(6) of the Companies Act, 2013, the scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not a date subsequent to the appointed date.

The Authorized Signatories of the Petitioner Companies has filed Affidavit dated 4th June, 2018 in furnishing response to the same, which are as follows:

1. For the Observation no.(a): It is submitted that, the Transferee Company undertakes to comply with the provisions of Sec.232(3)(i) of the Companies Act, 2013 and any differential fee and stamp duty arising on account of consolidation of the share capital of the Transferor Company and the Transferee Company after setting off the fee already paid by the Transferor company shall be paid by the Transferee company.
2. For the Observation no.(b):: It is submitted that the Transferee Company undertakes to comply with the applicable FEMA regulations and guidelines issued by RBI for the allotment of shares to the non-resident shareholders of the Transferor company pursuant to the Scheme.
3. For the Observation no.(c):: It is submitted that the Transferee Company undertakes to initiate the compounding as directed above.

4. For the Observation no.(d):: It is submitted that the Scheme is in line with the provisions of the Section 232(6) of the Companies Act, 2013. Clause 3 of the scheme states shall be effective from the appointed date.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed another Affidavit dated 22nd June, 2018 making some observations:

1. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref:F No 3/Karnataka/ Amal/ 866/ RD/(SER)/2017 dated 20.6.2018 stating therein that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him, and report of ROC, Karnataka vide letter No.ROCB/Legal/C.P.No.CAA/17/BB/2018 dated 04.6.2018 received on 8.6.2018 and stated that the Directorate has no objection to the instant scheme.

The Registrar of Companies, Karnataka has filed letter No.ROCB/LEGAL/C.P.No./17/BB/2018 dated 20th April, 2018 making some observations:

1. There are no prosecutions, complaints, technical scrutiny/inspection is pending in this office on the petitioner companies.
2. At Clause No.11.2 of the scheme it is stated that the transferee company shall not require to pay any fees/stamp duty on the increased authorized share capital after clubbing the authorized capital of the Transferor Company with it. In this regard Transferee Company shall comply the Section 232(3)(i) of the companies Cat, 2013, that the Transferee Company on its authorized capital before merger.
3. Both the Transferor Company and Transferee Company are part of Fortinet group. Transferor company is a wholly owned subsidiary of the M/s.Fortnet Networks Mauritius Limited and Transferee Company is subsidiary of the M/s.Fortnet Singapore Pte Limited. Transferee Company is issuing shares to transferor company's holding company which is a foreign entity. In this regard FEMA regulations may be obeyed by the transferee company.

Reserve Bank of India has filed letter no:FE.BG.FID.No.3975/21.08.823/2017-18 dated 13th April, 2018 making some observations:

1. "In this connection, we indicate that any cross border transaction related to a scheme of arrangement or amalgamation undertaken under the Companies Act, 2013 should conform to provisions under FEMA, 1999."

On the prayer made by the Official Liquidator in OLR no. 46/18 in CP (CAA) 17/BB/2017, vide order dated 17.4.2018 M/s. Bhandari Pincha & Surana, Chartered Accountants was appointed by this Tribunal to Scrutinise the Books of Accounts and records of Petitioner/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s. Bhandari Pincha & Surana, Chartered Accountants submitted the report.

Pursuant to the same, the Official Liquidator has filed a Report dated 11.5.2018 in OLR.No.69/18 stating that M/s.Bhandari Pincha & Surana, Chartered Accountants has submitted Report dated 8.5.2018 which is marked as **Annexure A,** wherein the Chartered Accountant has concluded in his report that:

i.) "We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by the Transferor Company so far as appears from our examinations of those books and records".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest.

The Counsel for the Petitioner Companies have filed copy of Accounting Treatment Certificate **dated 21st February, 2018** of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the

opinion that the accounting treatment contained in Clause 10 of the aforesaid Scheme is in compliance with the applicable Accounting Standard notified under section 133 of the Companies Act,2013 r/w rule made there under, and other generally Accepted Accounting Principles as applicable. The Auditors Certificate on Accounting Treatment is shown as **Annexure-J series.**

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Registrar of Companies before registration as stated to ensure compliance of FEMA guidelines and Approval of RBI, Compliance of Petitioner's undertaking dated 4th June, 2018 as well as stamp duty as fixed by Inspector General of Registration and Commissioner of stamps. Registration of the scheme must be effected on ensuring the compliance of the above by Registrar of Companies.

The approval of the scheme is subject to the compliance of FEMA and approval of RBI.

The Petitioner will also ensure compliance of their undertaking dated 4th June, 2018.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2017.

The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

Sirisha